

[Figure 18.5](#) shows the next trade, but this one uses a chart pattern I call an ugly double bottom. Regular double bottoms are covered elsewhere in this book (see the Adam and Eve combinations of double bottoms). An ugly double bottom occurs when price on the second bottom is more than 5% above the low of the first bottom. Entry is the same as a traditional double bottom (a close above the top of the pattern). The 5% number is arbitrary, so the number is not as important as price making a higher low.

If you look at the monthly chart of this stock (daily is shown), you'll see price bottoming near 32. On this chart, however, price forms a higher cloudbank at about 35. Let's use the lower cloudbank because there's where overhead resistance will likely appear.

Trouble started in December 2018, according to the chart, when price began to spiral downward like a biplane doing aerobatics. According to the company's website, the company entered into a definitive agreement to divest the Wesson® oil brand, announced on 18 December, but it wouldn't occur until sometime in the first quarter of 2019. Two days later, the company announced second quarter results.

The stock bottomed at A, at a low of 20.22 on 26 December. Price recovered to B and formed a higher low at C. Although the bottom at C is not 5% higher than A, it does suggest a recovery (a higher low followed by a higher high is often used as a benchmark of an upward price trend).

At D, price closed above the high at B, and that was the entry signal. Buy the following day at the open for a fill near 22.87.

Notice that the 4-month SMA (E, about 27.70) is well above the buy price. In this example, waiting for price to climb above the SMA means giving away a substantial amount of money.

Price on this chart has climbed to F, just short of the 32 target, but more recently is above 37. The stock returned to the cloud.

If you used the ugly double bottom entry method and sold at the 32 cloud base, you would make about 40%. Using the moving average method in this example would give a potential gain of 16%.

The maximum you could have made on this trade (assuming a return to the cloudbank at 32) would be $(32 - 20.22)/20.22$ or 58%. That gain is best case. The realistic profit is much less, depending on your skill at entering